

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DCCED

Date: 5/15/2026

Bill Number: SB 249

Short Title (as it appears on BASIS): VIRTUAL CURRENCY KIOSKS

What action do you recommend the Governor take?

Select one.

☒ SIGN ☐ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

The Division of Banking and Securities (“division”) supports the passage of this bill and recommends that the Governor sign the bill to become law.

The division has observed a rise in fraud and scams involving virtual currency (“VC” or “cryptocurrency”) kiosks targeting seniors. The majority of individuals utilizing VC conduct transactions on a smart phone application (“app”) or on a computer, rarely if ever would they walk into a grocery store or gas station with a pile of cash to transmit and convert to VC. Providing a daily and monthly transaction dollar limit for kiosk users will provide a deterrent to fraudulent activity and limit losses for victims of fraud. This bill provides refunds to victims of scams with fraudulent transactions utilizing a VC kiosk and provides consumer protection to Alaskans meeting the division’s mission.

What does this Bill do?

SB 249 establishes a regulatory framework for virtual currency kiosks in Alaska to enhance consumer protection and prevent fraud and money laundering. The division is the primary regulator for money services businesses regulated under Alaska Uniform Money Services Act (“Act”) AS 06.55 and 3 AAC 13 and has oversight over virtual currency kiosks as registered agent locations. The division issues licenses, conducts examinations and investigations, and

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enforces statutes for money service businesses in Alaska. The division conducts periodic examinations to ensure that money service businesses operate in compliance with state and federal laws and are operating in a safe and sound manner. There are approximately 76 active virtual currency kiosks in the state of Alaska.

SB249 requires kiosk operators to obtain a money transmission license, register with the state, and comply with strict reporting obligations. Reports must detail kiosk locations, transaction volumes, suspicious activity, and consumer complaints. The bill requires a new annual report for a VC kiosk operator to be submitted on or before March 31st of each year. The bill would create a new annual report only for kiosk operators to be submitted to the department. All data collected by the department remains confidential but will be summarized in annual public reports.

This bill mandates clear disclosures to users in their preferred language, including transaction fees, exchange rates, fraud warnings, and risks associated with virtual currency. Operators must provide receipts with detailed transaction information and maintain live customer service during extended hours. Communication must be available in English and Spanish, and interpretation services must be offered when needed.

SB249 requires operators to combat illicit activity and must implement anti-fraud and anti-money laundering policies, use blockchain analytics to detect suspicious transactions, and block transfers to wallets linked to fraud or inaccessible overseas exchanges. Identity verification is required for all users, and operators are strictly liable for violations. The bill also sets transaction limits of \$1,000 per day and \$10,000 per month per user, caps fees at 10 percent, and requires full refunds for fraudulent transactions under specified conditions.

The bill places a clear responsibility on VC kiosk operators to protect consumers who fall victim to fraud. If a user reports that a transaction was fraudulent within 90 days and provides supporting documentation such as a police report or a sworn statement, the operator must issue a full refund of all transactions involved, including transaction charges within 120 days. These provisions ensure that operators maintain accountability and prioritize consumer protection in cases of fraud. Violations of these provisions are classified as unfair trade or deceptive acts under AS 45.50, subject to civil penalties, seizure of kiosks, and forfeiture of fees.

The division expects an increase in complaints related to VC kiosk fraud and staff will be needed to conduct investigations into reports of fraud. Staff would work through the administrative process. An Alaska consumer would file a complaint form with the division, staff would conduct an investigation, draft an order with a written option for an administrative hearing with 30 days to request a hearing in order for the division to order a licensee to issue refund for cases related to fraud.

The division supports this legislation and is aware of local law enforcement, specifically the city of Palmer Police Department, placing their own warning signs for consumers on kiosks in grocery stores. The Alaska Department of Public Safety testified that half of the complaints received related to cryptocurrency in Alaska are conducted using a kiosk. The Iowa Attorney

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General's office launched an investigation in 2023 into VC kiosk scam transactions and identified that that most scam victims were above the age of 60 and that 98% of Iowans sending money through Bitcoin Depot were scam transactions. The Federal Bureau of Investigation Internet Crime Complaint Center ("IC3") reported that it received complaints related to VC kiosk scams in Alaska disclosing in 2023 two complaints were received with \$36,779 in losses and in 2024 it received 48 complaints with \$917,758 in losses.

There is a zero fiscal note. The division does not anticipate fiscal impact from this legislation.

Detailed Sectional Analysis

➤ **Section 1.** Amends AS 06.55 by adding new sections 06.55.120 through 06.55.195.

AS 06.55.120 requires VC kiosk operators to hold a money transmission license before conducting transactions or advertising such services. It also mandates registration and prior approval from the department before placing kiosks in Alaska.

AS 06.55.125 requires operators to submit quarterly reports detailing kiosk locations, start and end dates of operations, VC addresses, and declined transactions due to suspected illicit activity. Annual reports must include revenue, complaints, transaction volumes, refunds, compliance officer details, and suspicious activity reports filed under federal law.

AS 06.55.130 requires operators to provide clear disclosures in the user's chosen language about fees, exchange rates, fraud warnings, and risks of virtual currency (e.g., lack of FDIC protection and price volatility). Contact details for law enforcement and the operator must be displayed on kiosks. Receipts must include transaction details, charges, and refund policies.

AS 06.55.135 requires operators to maintain a written anti-fraud and anti-money laundering policy aligned with the Bank Secrecy Act. The policy must identify risk areas, establish controls, assign monitoring responsibilities, and undergo periodic review.

AS 06.55.140 requires operators to use blockchain analytics and tracing software to prevent transactions to wallets linked to fraud or inaccessible overseas exchanges. Evidence of compliance must be provided upon request.

AS 06.55.145 requires operators to post visible fraud warnings on kiosks providing notice to users that criminals may direct victims of fraud or scams to send money through virtual currency kiosks. The warning must include the virtual kiosk operator's toll-free customer service telephone number.

AS 06.55.150 requires operators or their authorized delegates to verify user identity with government-issued ID and personal details before processing transactions. The operator is strictly liable for violations of this section.

AS 06.55.155 requires operators to provide annual training materials to kiosk location staff on fraud indicators and financial exploitation. Staff cannot be prohibited from educating users about scams.

AS 06.55.160 requires operators to issue full refunds for fraudulent transactions, including fees, if reported within 90 days after the last transaction or within 90 days

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after the user became aware of the fraud, whichever is later. Within 120 days after contacting the operator, submitting a police report, a report by the department, or a sworn statement to the VC operator, a refund shall be issued to the user.

AS 06.55.165 requires operators to communicate in English and Spanish and communicate with the user in their preferred language through staff, oral interpretation services or auxiliary aids and services.

AS 06.55.170 states transaction limits are set at \$1,000 per day and \$10,000 per month per user, and applies to all products, including online purchasing or over-the-counter platforms.

AS 06.55.172 states an operator may not collect fees from a user for a transaction that total more than 10 percent of the transaction value in the U.S. dollars or the equivalent in VC.

AS 06.55.175 states an operator shall provide live customer support between 8:00 a.m. and 10:00 p.m. Alaska time and a customer service toll-free number must be displayed on the kiosk or the kiosk screen.

AS 06.55.180 requires operators to provide a dedicated line for government agencies to contact the operator. The dedicated line must be an electronic mail address or telephone number based in the United States. The line must be monitored regularly. Upon request the operator must provide they agency with trace findings and assistance with blockchain analytics during investigations.

AS 06.55.185 states an operator that violates AS 06.55.120 – 06.55.195 commits unfair trade practices, subject to civil penalties, kiosk seizure, and forfeiture of fees.

AS 06.55.190 states municipal governments may impose stricter rules if they do not conflict with AS 06.55.120 – 06.55.195.

AS 06.55.195 provides the definitions in AS 06.55.120 – AS 06.55.195.

- **Section 2.** Adds a new subsection (b) to AS 06.55.840 stating this section does not apply to a refund requested for a VC kiosk transaction under AS 06.55.120 – AS 06.55.195.
- **Section 3.** Amends AS 06.55.990 (15) to break apart the definition of money transmission into two parts. “Money transmission” (A) means (i) selling or issuing payment instruments or stored value to a person located in this state; (ii) [, OR] receiving money or monetary value for transmission to the state, from the state, or within the state; or (iii) operating a virtual currency kiosk; (B)[, BUT] does not mean [INCLUDE] the provision solely of [DELIVEERY,] online services, telecommunications services, or network access;
- **Section 4.** Amends AS 06.55.990 by adding new paragraphs providing definitions related to virtual currency, including control, administration, business activity, control services vendor, exchange, and transfer.
- **Section 5.** Amends AS 45.50.471(b) by adding (58) violating AS 06.55.120 – AS 06.55.195 (virtual currency kiosks).
- **Section 6.** The Act takes effect October 1, 2026.

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Companion or Similar Bills

SB 249 was sponsored by Senator Tilton and has a companion bill, HB 324 that was sponsored by Representative Moore. Both bills were introduced in 2026.

HB 354 was sponsored by Representative Vance is a similar, but not exact bill, was also introduced this session.

Support/Opposition of the Bill

Support of the Bill:

Mat-Su Council on Aging, Brenda Shelvon, (907) 917-4600

American Association of Retired Persons (AARP) Alaska, Marge Stoneking, Advocacy Director
1-866- 227-7447

Sgt. Nathan Bucknall, Alaska Department of Public Safety, (907) 269-5611

Officer Matt Moore, Palmer Police Department, (907) 745-4811

Phyllis Silverton (Sen. Tilton's Mother and VC Kiosk scam victim)

Donna Anthony, Palmer, AK (907) 775-4162

Opposition of the Bill:

CoinFlip, Clara Wolkson (773) 800-0106 (opposed certain language in the bill, but mostly in support of bill)

Hilt Ventures, Louise Myers, (702) 780-9096

Bitcoin Depot, Chris Edwards, (678) 475-9604

Bill Signing ceremony suggestions (if applicable)

The division suggests inviting the Mat-Su Council on Aging, AARP Alaska, and law enforcement agencies listed above to a bill signing ceremony.

Commissioner's Signature:

DocuSigned by:

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Date: 5/21/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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